

Swiss Institute of Banking and Finance



University of St.Gallen

1. General Information

Prof. Dr. Markus Schmid

3,130/4,130 Corporate Finance

Who am I?

University of Basel:

- 1996-2001: Studies in Economics
- 2001-2004: Ph.D. in Finance (Dr. rer. pol.)
- 2005-2006: Project Leader / Post-Doc at the Department of Finance



Who am I?

New York University:

- 2004-2005: Post-Doc at Leonard N. Stern School of Business
- Summers 2009-2011: Visiting Researcher
- 2014: Visiting Research Professor



Who am I?

University of St. Gallen:

- 2006-2010: Assistant Professor of Finance and Habilitation at the Swiss Institute of Banking and Finance
- 2012-: Professor of Finance, Chair for Corporate Finance and Director of Swiss Institute of Banking and Finance



Who am I?

University of Mannheim:

- 2010-2012: Professor, Chair for Business Administration and Corporate Governance



Who am I?

- **Research interests:**

Empirical Corporate Finance, Corporate Governance, Household Finance

- **Examples of recent publications:**

- CEO Turnover and Director Reputation, *Journal of Financial Economics* 136, 2025, 103971 (with F. von Meyerinck and J. Romer).
- CEO Tenure and Firm Value, *The Accounting Review* 96, 2021, 47-71, (with F. Brochet, P. Limbach, and M. Scholz-Daneshgari).
- Does Price Fixing Benefit Corporate Managers?, *Management Science* 65, 2019, 4813-4840 (with T. Artiga Gonzalez and D. Yermack).

- **Other:**

Since 2022 Faculty Member of the Swiss Finance Institute (SFI), Geneva, and Research Member of the European Corporate Governance Institute (ECGI), Brussels. Since 2024, Academic Director of Center for Financial Services Innovation at HSG. Member of multiple advisory boards.

Corporate Finance – General information

- The course consists of three parts:
 - Part I (Lectures)
 - Part II (Exercises) → These are case studies
 - Part III (Independent Studies) → These are exercises

Part I: Lectures – Course Outline

1. General Information
2. Risk and Return
3. Portfolio Theory and CAPM
4. Corporate Valuation
5. Cost of Capital
6. Corporate Financing and the Issuance of Securities
7. Capital Structure
8. Risk Management
9. Conflicts of Interest and Corporate Governance
10. Market Efficiency and Behavioral (Corporate) Finance
11. Empirical Research in Corporate Finance

What is “corporate finance”?

- Corporate Finance is centered around financial decisions that companies make.
- We distinguish between two kinds of decisions financial managers face:
 - What investments are we going to make? (=> spending money)
 - New plants
 - Advertising campaign
 - Research & Development (R&D)
 - Corporate jet
 - How are we going to pay for these investments? (=> raising money)
 - Use retained cash flows
 - Borrow from a bank
 - Sell additional shares of stock

Corporate Finance – Investing...

- We will start on the left-hand side of the balance sheet and cover the basics of investing:
 - Lecture 2: Risk and Return
 - Lecture 3: Portfolio Theory and CAPM
 - Lecture 4: Corporate Valuation
 - Lecture 5: Cost of Capital
- Financial managers face an investment trade-off: invest in a project or pay out to owners (shareholders) so they can invest themselves.
- To maximize firm value, financial managers invest into projects with a higher return than the opportunity return that shareholders could earn themselves (i.e., the expected return that investors can achieve in financial markets at the same level of risk).

Corporate Finance – ...and financing

- We will then move over to the right-hand side of the balance sheet and cover the basics of financing and capital structure:
 - Lecture 6: Corporate Financing and the Issuance of Securities
 - Lecture 7: Capital Structure and Valuation
- To raise money for investments, a company has two basic choices:
 - Debt: company promises to pay back and pay interest
 - Equity: shareholders get no fixed return but own a part of the company and thus have rights to future profits
 - According to MM, capital structure does not matter and adds no value (under stringent assumptions)

Corporate Finance – Frictions

- Lecture 8: Risk Management
 - Risk and return relationship: Entrepreneurial activities are risky!
 - Companies need to measure and manage their risks.
- Lecture 9: Conflicts of Interest and Corporate Governance
 - Separation of ownership and control gives rise to “agency problems”: People who make the decisions are not the ones who own the company
 - Managers might do things that do not benefit shareholders (e.g., empire-building, shirking, invest in negative NPV-projects, etc.).
 - Corporate governance mechanisms aim at keeping managers in check.
- Lecture 10: Market Efficiency and Behavioral (Corporate) Finance
 - Economics generally assumes rational (investor) behavior and decision making, Behavioral finance postulates (and provides evidence on) deviations from purely rational behavior of economic actors.

Part I: Lectures – Additional Information

- Solutions for some examples in the lectures and additional information provided during lectures, that are not covered on the slides, will only be discussed in the lectures (and not published in documents that can be downloaded).
- The size of the class room does not facilitate an interactive class. Still, feel free to ask questions at any time.
- Also, please use our FAQ thread on Canvas (see information on last slide) to ask questions electronically.

Part I: Timetable

Dates (Room 09-010)	Lecturer	Contents	Mandatory Readings
14.04.2025 (08:15-10)	Prof. Schmid	General Information	-
14.04.2025 (10:15-12)	Prof. Schmid	Risk and Return	BMAE (2022): Chapter 7
22.04.2025 Recording	Prof. Schmid	Portfolio Theory and CAPM	BMAE (2022): Chapter 8
22.04.2025 Recording	Prof. Schmid	Corporate Valuation	BMAE (2022): Chapters 2, 4-6
28.04.2025 (08:15-10)	Prof. Schmid	Cost of Capital	BMAE (2022): Chapters 4-6, 9
28.04.2025 (10:15-12)	Prof. Schmid	Corporate Financing and the Issuance of Securities	BMAE (2022): Chapters 13, 14
05.05.2025 (08:15-10)	Prof. Schmid	Capital Structure	BMAE (2022): Chapters 16-18
05.05.2025 (10:15-12)	Prof. Schmid	Risk Management	BMAE (2022): Chapters 27*, 28
12.05.2025 (08:15-10)	Prof. Schmid	Conflicts of Interest and Corporate Governance	BMAE (2022): Chapter 19
12.05.2025 (10:15-12)	UBS**	Guest Lecture on Syndicated Loans	-
19.05.2025 (08:15-10)	Prof. Schmid	Market Efficiency and Behavioral (Corporate) Finance	BMAE (2022): Chapter 12
19.05.2025 (10:15-12)	Prof. Schmid	Introduction to Empirical Research in (Corp.) Finance	-

* Only part(s) of the chapter (for details see lecture slides).

** Christoph Steiner (Head Structured & Syndicated Finance) and Thomas Hofer (Head Structured Finance SME)

Part II: Exercises

- **Motivation**
 - Apply theory to real world problems.
 - Increase understanding of topics discussed in the lectures (with extensions).

Case	Learning Objective	Field	Availability	Dates
Valuation – Consolidated Edison and Chemex AG	Market Rate of Return; CAPM; Beta; Corporate Valuation	Chemicals	Canvas	23.04.2025
«Valuing Snap After the IPO Quiet Period» A-B-C	Corporate Valuation; IPO; Corporate Governance; Ethics	Data Processing, Hosting and Related Services	HBS Case # 9-218-095/096/116 Download on Harvard Business Publishing (\$4.95 / \$2.95 / \$2.95)	30.04.2025
«Cox Communication, Inc., 1999»	Capital Structure; Long- / Short-Term Financing; Cost of Capital; Debt Management	Telecommunications	HBS Case # 9-201-003 Download on Harvard Business Publishing (\$4.95)	07.05.2025
«Aviva Investors»	ESG; Long-Term Investments; Shareholder Engagement	Financial Services, Insurance	HBS Case # 9-112-047 Download on Harvard Business Publishing (\$4.95)	14.05.2025
ESG – Financing Constraints and Workplace Safety	Environmental, Social and Governance; Endogeneity; Causality	n/a	Canvas	21.05.2025

- The cases are discussed in groups. Instructors expect students to show up well-prepared for each class, i.e., students are advised to have read the cases before the class.

Part II: Exercise Groups

Group	Instructor	E-mail contact	Time	Dates	Room
Group #1	Dr. Eugenio Carnemolla	eugenio.carnemolla@unisg.ch	Wednesday 08:15 - 10:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	01-111*
Group #2	Dr. Eugenio Carnemolla	eugenio.carnemolla@unisg.ch	Wednesday 10:15 - 12:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	01-111*
Group #3	Dr. Ralf Seiz	ralf.seiz@unisg.ch	Wednesday 08:15 - 10:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	23-001
Group #4	Dr. Ralf Seiz	ralf.seiz@unisg.ch	Wednesday 10:15 - 12:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	23-001
Group #5	Dr. Anke Sach	anke.sach@unisg.ch	Wednesday 08:15 - 10:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	23-003
Group #6	Dr. Anke Sach	anke.sach@unisg.ch	Wednesday 10:15 - 12:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	23-003
Group #7	Dr. Daniel Seiler	daniel.seiler@unisg.ch	Wednesday 08:15 - 10:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	01-U121
Group #8	Dr. Daniel Seiler	daniel.seiler@unisg.ch	Wednesday 10:15 - 12:00	23.04. / 30.04. / 07.05. / 14.05. / 21.05.	01-U121

*On 07.05.2025 the exercise session will take place in room 14-030!

Part III: Independent Studies

- Motivation
 - Preparation for exam: MC questions as in exam.
 - Solutions will be published towards the end of the term. Note: Detailed explanations and calculations will be provided in the classes only.
 - Availability: Course website on Canvas

Session	Instructor	E-mail contact	Contents	Time	Dates	Room
#1	Jonas Romer	jonas.romer@unisg.ch (Questions to the discussion forum on Canvas)	Exercises to 2. Risk and Return 3. Portfolio Theory and CAPM 4. Corporate Valuation	Tue 20:15 - 22:00	29.04.2025	09-010
#2	Dominic Walz	dominic.walz@unisg.ch (Questions to the discussion forum on Canvas)	Exercises to 5. Cost of Capital 6. Corporate Financing	Tue 20:15 - 22:00	06.05.2025	09-010
#3	Markus Schwarz	markus.schwarz@unisg.ch (Questions to the discussion forum on Canvas)	Exercises to 7. Capital Structure and Valuation 8. Risk Management	Tue 20:15 - 22:00	13.05.2025	09-010
#4	Prof. Markus Schmid	markus.schmid@unisg.ch (Questions to the discussion forum on Canvas)	Exercises to 9. Corporate Governance 10. Market Efficiency 11. Empirical Research	Tue 20:15 - 22:00	20.05.2025	09-010

Literature

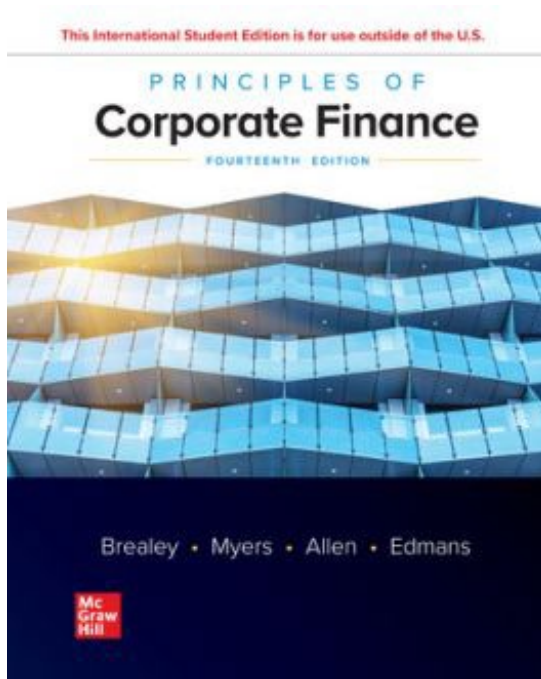
- **Compulsory:**

- Reader / “Skript” (available on Canvas), three Harvard Business Cases (have to be purchased by each student individually)
- Direct links to these cases are provided on Canvas.
- Brealey, R., Myers, S., Allen, F., and A. Edmans, 2022, Principles of Corporate Finance, 14th Edition, McGraw-Hill.
(Compulsory readings are summarized at the end each set of lecture slides.)

- **Additional readings:**

- Additional readings are listed at the end of each lecture / case.

Literature: Course book



McGraw Hill offers a discount code of 30% off print and eBook to purchase course book this year:

Use code **UNIBOOKS30** at checkout

<https://www.mheducation.co.uk/principles-of-corporate-finance-ise-9781265074159-emea-group#configurable-product-options-title>

Examination – General Information

- Exam:
 - Written exam (during the central examination block – the exact date and room will be published on Canvas)
 - Closed book
 - 90 minutes
 - 90 points (one point per minute; no minus points for wrong answers)
 - True / False (1 point each) and Multiple-Choice Questions (2 to 6 points). Exam questions are of the same type(!) as those of the independent studies.
- Further exam information
 - See pocket-calculator rule on the next slide
 - Bilingual dictionaries are admissible (without notes or marks). Electronic dictionaries are not admissible.
 - A “formulary sheet” will be provided on Canvas and also attached to the exam. All other formulas covered in lectures, exercises, and the independent studies (oral or written) are relevant for the exam and students are expected to know them.
 - A standard normal distribution table will be attached to the exam.

Regulation: Examination Aids

- **General information for examination aids**

See StudentWeb: Information on examinations aids and course fact sheets.

- **Pocket calculator rules**

only pocket calculators of the Texas Instruments **TI-30 series** that cannot be programmed and are incapable of wireless communication are admissible. Thus the following models are examples of admissible pocket calculators:

- **TI-30 Xa Solar**
- **TI- XII Solar**
- **TI-30 eco RS**
- **TI-30 XII B/S**
- **TI-30 XS Multiview**



The **TI-34** and **TI-36** are not part of the TI-30 series and are therefore **not admissible!** This is also applicable to any other pocket calculators, irrespective of whether they have a similar or smaller range of functions. Inadmissible pocket calculators will be confiscated without substitution.

Examination – Contents

- **All topics and materials discussed in class:**
 - all slides (also if not covered in class),
 - all the material covered in class, but not in the reader,
 - guest lecture(s),
 - all exercises (cases),
 - the contents of the independent studies, and
- **All mandatory readings.**

Examination – Contents

- Incentive provision: Questions from the set of Independent Studies will be included in the exam for a total of (at least) 20 points. Note: In calculations, the numbers may be changed but the questions are otherwise identical.
- In order to prevent confusion resulting from rounding errors (in particular, when there are intermediate steps), we will ask for the “most likely result”. We also do not provide several answers that are within “rounding range”. Still, you should round intermediate results to four decimal places and the final result to two decimal places (if not stated otherwise).
- We generally ask some questions on the guest lectures as well as on the case studies, because we think that these lectures are important to show the link between academia and real world problems.
- We will provide you with a Mock Exam based on questions from the last three years. Note that as the contents of the course evolves, the material in some questions might not be covered by today’s class anymore.

Information for Exchange Students

- **Course enrollment**

- Guest bidding
- PLUS send an e-mail to dominic.walz@unisg.ch containing the following info:
 - Name, first name, student-ID
 - Exam option (see below)
 - Deadline: **May 1, 2025**

- **Examination**

Exchange students can choose between two options:

1. **“Written Exam in Examination Block”** (**04.07.2025**, 90 minutes; closed book)
Enrollment: <https://compass.unisg.ch/>
2. **“Decentral Exam for Guest Students”** (**22.05.2025**, 90 minutes; closed book)
(only for registered exchange students!)
Enrollment by email to: dominic.walz@unisg.ch (**deadline: May 1, 2025**)

Specialization Finance

Courses to choose from:

- Fall term:
 - Corporate Finance (Compulsory) – Schmid
 - Insurance Management – Eling
 - Real Estate Finance and Investments – Füss
 - Asset-Based Commodity Trading – Frauendorfer (et al.)
 - Psychology of Risk – Biener
 - Money, Banking & International Finance – Garcia-Appendini
 - Risk Management – Makariou
 - Blockchain and Money – Bechtel
 - Valuation – Eugster
- Spring term:
 - Corporate Finance (Compulsory) – Schmid
 - Investments – Orlov
 - Asset-Based Commodity Trading – Frauendorfer (et al.)
 - Applied Corporate Valuation – Pursiainen
 - Principles of Financial and Actuarial Mathematics – Leibundgut
 - Money, Banking & International Finance – Garcia-Appendini
 - Machine Learning in Finance – Makariou
 - Introduction to Financial Derivatives – Huggenberger

Specialization Finance (II)

- Bachelor thesis in finance – associate / full professors:
 - Asset Pricing (Paul Söderlind – SBF)
 - Investments / Asset Management (Vitaly Orlov – SBF)
 - Corporate Finance (Markus Schmid – SBF)
 - Corporate Finance (Marc Arnold – ACA)
 - Real Estate Finance / Investments (Roland Füss – SBF)
 - Private Equity / Corporate Finance (Tereza Tykova – SBF)
 - Private Equity (Stefan Morkötter – Singapore Institute)
 - Energy Finance / Computational Finance (Karl Frauendorfer – IORCF)
 - Insurance / Fintech (Martin Eling – IVW)
 - Banking (Emilia Garcia-Appendini)
 - Behavioral Finance (Matthias Weber – SBF)
 - Corporate Finance / Private Markets (Vesa Pursiainen – SBF)
 - Risk Management / Financial Intermediation (Anastasia Kartasheva – SIAW)
- Note: There are about as many assistant as full professors.



Specialization Finance (III)

- Three capstones:
 - 1) Dr. Daniel Seiler, Vontobel (fall term)
 - 2) Dr. Roberto Paganoni, LGT Capital (spring term)
 - 3) Dr. Ralf Seiz, Finreon (spring term)
- Requirements for specialization in finance:
 - Four electives within the set of finance courses (or equivalent courses at guest universities)
 - Bachelor thesis in finance (see supervisors on last slide) or capstone in finance

In Case of Questions

- **Administrative Issues** (regarding lectures and exam):
 - dominic.walz@unisg.ch
- **Exercises** (if you have any questions regarding the exercises / cases, please contact your group instructor):
 - eugenio.carnemolla@unisg.ch, Exercise Groups 1, 2
 - ralf.seiz@unisg.ch, Exercise Groups 3, 4
 - anke.sach@unisg.ch, Exercise Groups 5, 6
 - daniel.seiler@unisg.ch, Exercise Groups 7, 8
- **Independent Studies** (if you have any questions regarding the independent studies please contact the corresponding instructor):
 - jonas.romer@unisg.ch, First session
 - dominic.walz@unisg.ch, Second session
 - markus.schwarz@unisg.ch, Third session
 - markus.schmid@unisg.ch, Fourth session

Questions – Deadline

Questions regarding the exam, lectures, exercises, and independent studies will be answered until

June 20, 2025.

All questions arriving after this deadline cannot be answered!

We will add all questions to a FAQ-file which we will upload and update regularly on Canvas/StudyNet. Please check whether your question was already answered: We will only answer new questions!

Contact Information

- **Lecturer**

Prof. Dr. Markus Schmid

Swiss Institute of Banking & Finance
Unterer Graben 21
CH-9000 St. Gallen
Switzerland

E-mail: markus.schmid@unisg.ch

- **Assistant**

Dominic Walz

Swiss Institute of Banking & Finance
Unterer Graben 21
CH-9000 St. Gallen
Switzerland

E-mail: dominic.walz@unisg.ch